

THE INTERIOR'S POWER MATH

\$120 million.



One vote today.
Members own the bill.

a co-op decides behind a closed door

THE DECISION

A turbine, and a \$120 million question

On July 13, in a closed executive session, Golden Valley Electric Association's board weighs buying a second LM6000 gas turbine for its North Pole plant. The price is about **\$120 million**. In April the board spent **\$50,000** just to hold a place in the order line.

FIRM SIDE



\$50,000 reserved, then
\$120,000,000 on the table.

WHY NOW? TWO ANSWERS.

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WHAT THE PAPER
REPORTS

The News-Miner reports demand for these turbines has surged because **large data centers need a guaranteed power supply.**

SOURCE: FAIRBANKS NEWS-MINER

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WHAT THE CO-OP SAYS

GVEA points to general growth. **"We did see higher load across the board,"** President Travis Million said, running diesel units harder because the co-op is "not getting any energy from Southcentral."

The co-op has not said the turbine is for data centers.

THE FIRM SIDE IS REAL

One machine. Steel and megawatts.

An LM6000 makes **45 to 58 megawatts** on its own, or **76 to 152** paired with steam or storage. The plant's first LM6000, from 2006, still runs at **47 megawatts**. Ordering another can take three to five years.



45 to 58 MW	76 to 152 MW	47 MW	3 to 5 yrs
ALONE	PAIRED	2006 UNIT	TO INSTALL

BACKDROP (NOT CAUSED BY DATA CENTERS)

Members just absorbed the biggest fuel hike on record.

+61%

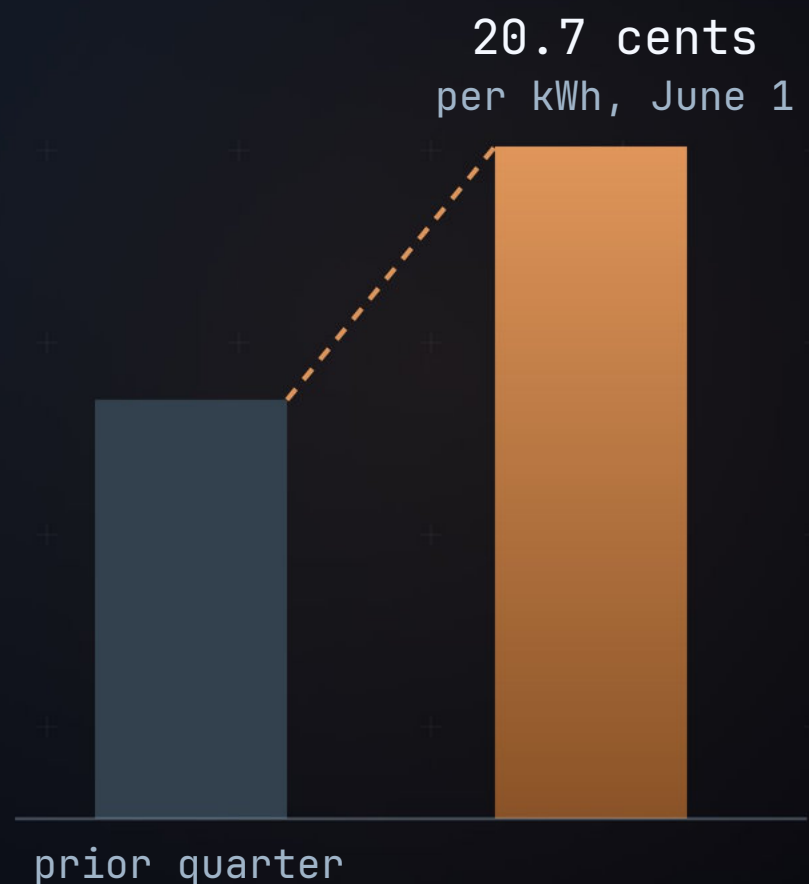
fuel charge, June 1

+\$45.74

AVG BILL PER MONTH

\$2.50 to \$5.10

PLANT FUEL PER GALLON, DOUBLED



On June 1 the fuel charge jumped **61 percent**, the largest increase GVEA has ever posted. The fuel its plants burn **more than doubled** since February.

The soft side

The loads are still on paper.

The Air Force is offering **4,700 acres, 12 parcels** on three bases, to firms that would build AI data centers. None is built. No lease is signed. A pending bill would require a grid study first, if it becomes law.



JBER is in Anchorage, not on the Interior grid.

Firm power, soft load.

FIRM

\$120,000,000

second turbine (proposed)

\$25,600,000

diesel overhaul (approved)

\$50,000

order deposit (April)

SOFT

~4,700 acres

offered

12 parcels

0 leases signed

grid study

would require, if enacted

Certain. Dated. Paid by members.

Proposed. Unbuilt. Someone else's.

different units, not one sum

THE STRUCTURE

The bill is certain.
The load is a maybe.

Members are being asked to finance firm, dated capacity now, while the loads that justify it stay on paper. And the vote happens in **executive session**, a room members reach only through board elections.

MEMBERS PAY

LOAD ON PAPER

EXECUTIVE SESSION

More gas and diesel also burns in a borough the EPA rates "Serious" for fine-particle pollution.

Firm power, soft load.

Should a co-op spend **\$120 million** on firm power while the loads that need it are still proposals? Or wait until someone signs for the load?

Sources in comments.



ALASKA.AI

alaskaaihq.com

64°50'N · 147°43'W